THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH -IV

CA. (CAA)-117/ND/2021

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of:

Scheme of Amalgamation
BETWEEN

Next Events Private Limited

Applicant-1/Transferor Company No. 1

AND

Parity Computing India Private Limited

Non-Applicant/Transferor Company No. 2

WITH

RELX India Private Limited

Applicant-3/ Transferee Company

Judgment delivered on:

CORAM:

SH. DHARMINDER SINGH, HON'BLE MEMBER (J)

SH. PRASANTA KUMAR MOHANTY, HON'BLE MEMBER (T)

Order delivered on: 03.12.2021

ORDER

Per: Sh. DHARMINDER SINGH, MEMBER (JUDICIAL)

1. This application has been jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate orders/directions for dispensing with/convening of the respective meetings of Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies, in connection with the proposed Scheme of Amalgamation contemplated between the applicant companies and non-applicant company namely, Parity Computing India Private Limited (transferor company no. 2). The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered office of both the two applicant companies is situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench. It is seen that the registered office of the transferor company no. 2 (Non-applicant Company) is situated at Karnataka which is not within the Jurisdiction of this Bench.

3. Next Events Private Limited (Applicant No. 1) having CIN No. U45400DL2008PTC75169 was incorporated on 11.03.2008 as a private limited company under the provisions of the erstwhile Companies Act, 1956. The Authorized Share Capital Rs. 5,00,000 divided into 50,000 Equity Shares of Rs. 10/- each and Issued, Subscribed and Paid up Share Capital Rs. 1,10,000 divided into 11,000 Equity Shares of Rs. 10/- each. The registered office of the Applicant No. 1 Company is situated at Unit No. 03, 04,05, First Floor, Southern Park, D2 Saket, New Delhi-110017.

4. Further it is submitted that the Applicant Company No. 1 has 2 Equity Shareholders and both the equity shareholders have given their consents to the Scheme constituting 100% in value and 100% in number. It is further represented by the counsel for Applicants that the Transferor Company No. 1 has neither any Secured Creditor and nor any Unsecured Creditor. Certificates of Chartered Accountant certifying non-existence of any creditor have been placed on record. As the Company has no secured and unsecured creditor the requirement of convening meetings of secured and unsecured creditors does not arise. In relation to the shareholders, the applicant no. 1 company, seeks dispensation from convening and holding of their meeting on the ground that both the shareholders have given consents in favour of the Scheme.

5. RELX India Private Limited (Applicant No. 2/Transferee Company) having CIN No. U72900DL199677903 was incorporated on 08.04.1996 under the provisions of erstwhile Companies Act, 1956 as a private company. The registered office of Transferee Company is situated at 818, 8th Floor, Indraprakash Building 21, Barakhamba Road New Delhi-110017. The Authorized Share Capital of the transferee company is Rs. 229,10,00,000/- divided into 22,91,00,000 Equity Shares of Rs. 10/- each. The issued, subscribed and paid up Share Capital of resulting company is Rs. 226,06,14,230/- divided into 226,061,423 Equity Shares of Rs. 10/- each.

6. It is also submitted that Transferee Company/Applicant Company No. 2 has 05 Equity Shareholders and consent affidavits of all equity shareholders in favour of the Scheme constituting 100% in value and 100% in number, have been obtained. It is further represented by the counsel for Applicants that the Transferee Company has no secured creditor. The Certificate of Chartered Accountant in this regard has been placed on record. As the transferee company has no secured creditor, the requirement of convening of meeting of creditor does not arise. In relation to the shareholders the transferee company, seeks dispensation from convening and holding of their meeting on the ground that all the five shareholders have given consent in favour of the Scheme.

7. In relation to the unsecured creditors of the transferee company, it is seen that there are 694 unsecured creditors in the transferee company having payable of Rs. 29,09,91547/-. The Transferee Company have prayed to either dispense the requirement of convening of the meeting of unsecured creditors on the ground that the transferee company has sufficient net worth to satisfy all of its debt, or in alternatively pass directions for convening of meetings of its unsecured creditors. The transferee company has relied upon order passed by Hon'ble NCLAT in the matter of *Aloevera Tradelink Pvt. Ltd. V. Ostwal Physchem (India) Limited SCC Online NCLAT 438 and DLF Phase-IV, Commercial Developers Limited & Ors., CA (AT) No. 180 of 2019.*

8. We have perused the joint applications and the connected documents / papers filed herewith including 'Scheme of Amalgamation' contemplated between the Applicant companies.

9. Both the applicants have filed their respective "Memorandum & Articles of Associations". The applicants have also filed their audited financial statements for the year ending 31.03.2020 and provisional unaudited Balance Sheet dated 31.03.2021.

10. Apparently, the Board of Directors of the applicant companies vide separate meetings, on 09.04.2021 and 13.04.2021 respectively have unanimously approved the proposed Scheme of Amalgamation and copies of resolutions passed thereat have been placed on record by the companies.

11. All the companies have submitted that no investigation proceedings are pending against them. It is further submitted that the directors of the applicant companies have no material interests in the proposed Scheme of Amalgamation.

12. The proposed merger is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013, and the Same if sanctioned by this Tribunal, will take effect from April 1st, 2021, i.e the Appointed dated as provided in the Scheme.

13. The certificates of statutory auditors of all the three applicant companies certifying that the accounting treatment used in the proposed scheme is in conformity of Section 133 of the Companies Act, 2013, have also been placed on record.

14. Further, there is nothing to show that the proposed Scheme is not prejudicial to the interests of the shareholders and creditors of the Applicant

Companies. Infact, the Scheme will be beneficial to all the companies and their respective shareholders and creditors.

15. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued: -

A) In relation to the Applicant Company No. 1:-

(i) With respect to Equity Shareholders, the holding of meeting is dispensed with as there are only 2 equity shareholders in the company and their consents affidavits have been placed on record.

(ii) Meeting of Secured Creditor and Unsecured Creditor are also dispensed with because there are no Secured and Unsecured Creditor in the company and therefore, the requirement of convening of their respective meetings do not arise.

(iii) The meeting of Unsecured Creditor is also dispensed with because there is no Unsecured Creditor in the company and therefore, the requirement of convening meeting of Unsecured Creditor does not arise.

B) In relation to the Applicant Company No. 2/ Transferee Company:-

(i) With respect to Equity Shareholders, the holding of meeting is dispensed with as there are 05 equity shareholders in the company and their consent affidavits have been placed on record.

(ii) Meeting of Secured Creditor is also dispensed with because there is no Secured Creditor in the company and therefore, the requirement of convening meeting of Secured Creditor does not arise.

(iii) In respect to the unsecured creditors, two alternative prayers have been made either to dispense or to convene meetings. The transferee company have 694 unsecured creditors having around 29 Crores payable by transferee company. In terms of Section 230 (9) of the Companies Act, 2013, the meeting of the creditors can be dispensed with only when the creditors having at least 90% of the total value of debt gave their consents by way of affidavit in favour of the Scheme. Admittedly, no consent affidavits in terms of Section 230(9) of the Companies Act, 2013 have been placed on record. Since there are large number of creditors involved having receivables of around Rs. 29 Crores, we are of the view that the alternate prayer of the applicant deserves to be allowed.

Therefore, the meeting of the unsecured creditors of the transferee company shall be held on 15.01.2022, through video conferencing at the registered office of the transferee company at 11:00 AM.

16. Mr. Amit Goel, Advocate (Mob-9810122373) is appointed as the Chairperson and Ms. Swaralipi Deb Roy, Advocate (Mob-8510094876) is appointed as Alternate Chairperson and, Mr. Aditya Aggarwal, CA (9541870366) is appointed as the Scrutinizer for the meeting of the applicant companies as has been directed to be convened by this Tribunal.

17. The Fees for the Chairperson for the aforesaid meeting shall be Rs. 1,50,000/- and the fees of the Alternate Chairperson and Scrutinizer shall be Rs. 1,25,000/- each in addition to meeting their incidental expenses. The Chairperson will file their reports within 2 weeks from the closing of the e-voting and/ or postal ballot.

18. The individual notices of the said meetings shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of amalgamation, a copy of explanatory statement. The prescribed form of proxy shall be sent along with and in

addition to the above documents, any other documents as may be prescribed under the Act may also be sent.

19. The applicant companies shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date, place and time as aforesaid, to be published in the English Daily 'Business Standard' (Delhi Edition) and Hindi Daily 'Jansatta' (Delhi Edition) stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Applicant Companies.

20. Voting will be made through remote e-voting process in compliance with the guidelines issued by the Ministry of Corporate Affairs in this regard.

21. The Companies shall individually send notice to the Central Government, the Income Tax Authorities, concerned Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator, Income Tax Department and any sectoral regulators who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

22. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

The application stands allowed in the aforesaid terms.

Copy of the order be served to the parties.

(PRASANTA KUMAR MOHANTY)
MEMBER (T)

(DHARMINDER SINGH)
MEMBER (J)